

WHY DO WE CALL IT A LAZY FINANCIAL PLAN?

The first thing to understand is that a good financial plan is always a lazy plan. Why do we say lazy? We are aware that all of us have jobs to do, businesses to run and a family to take care of and neither do we need nor want to add one more layer of work to our already busy schedule by continuously working on a financial plan.

We often come across people who are highly enthusiastic about the subject, are constantly tracking the same, and are willing to give this matter a lot of time, effort, and thought. But honestly, this is not a one-time thing. Our financial plan is a lifestyle item, that should be constantly active and in practice. So believe us when we say that a good financial plan is one that is for the lazy. A couple of hours each month should suffice. We could use the rest of the time to focus on our cash inflow – salary, profits, commissions, etc.

An average plan that is executed well is much better than an excellent plan that has been subjected to poor execution. So, while on it, sit back, relax and build a plan that is simple and easy to follow through. Just stick to the basics and there is no need to complicate things.

However, having said that, being lazy does not mean not doing our share of research properly, and by no chance, does it mean being ignorant of our portfolio. We need to track our portfolio constantly. Being lazy simply means making a plan and devising an execution strategy that is more sustainable and doable in the long term.

